

Capitalization Structure

THE DIVISION of a company's total capitalization between senior securities and common stock has an important bearing upon the significance of the earning power per share. A set of hypothetical examples will help make this point clear. For this purpose we shall postulate three industrial companies, *A*, *B* and *C*, each with an earning power (*i.e.*, with average and recent earnings) of \$1,000,000. They are identical in all respects save capitalization structure. Company *A* is capitalized solely at 100,000 shares of common stock. Company *B* has outstanding \$6,000,000 of 4% bonds and 100,000 shares of common stock. Company *C* has outstanding \$12,000,000 of 4% bonds and 100,000 shares of common stock.

We shall assume that the bonds are worth par and that the common stocks are worth about 12 times their per-share earnings. Then the value of the three companies will work out as follows:

Company	Earnings for common stock	Value of common stock	Value of bonds	Total value of company
<i>A</i>	\$1,000,000	\$12,000,000		\$12,000,000
<i>B</i>	760,000	9,000,000	\$6,000,000	15,000,000
<i>C</i>	520,000	6,000,000	12,000,000	18,000,000

These results challenge attention. Companies with identical earning power appear to have widely differing values, due solely to the arrangement of their capitalization. But the capitalization structure is itself a matter of voluntary determination by those in control. Does this mean that the fair value of an enterprise can be arbitrarily increased or decreased by changing around the relative proportions of senior securities and common stock?